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EXOS AEROSPACE — SSLC OPTION B: ACQUISITION OFFER SUMMARY

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1. What SSLC Holders Receive

Up-front price reflects today's numbers; earn-outs let SSLC holders share directly in tank deliveries, revenue milestones, and the Exos listing.

Earn-out rows: negotiating terms — management assumptions. Each milestone is independently verifiable; none pay unless the trigger is met.

Component	Low	Base	High	When / Notes
Cash at close	$2,510K	$2,510K	$2,510K	Close ~Q1 FY27
SSLC transaction costs	$60K	$60K	$60K	Close; seller-side
Credit for Exos's existing stake	$790K	$790K	$790K	Close (non-cash credit)
SSLC debts paid at face	$500K	$500K	$500K	Close; ~$500K TBV in QB
Working-capital bridge	$500K	$500K	$500K	Close
① Cash & debt relief at close	**$4,360K**	**$4,360K**	**$4,360K**	**Cash + costs + stake credit + debts + WC bridge**
+ Exos equity — $1.0M fixed EAI units (Rule 504, ~0.59% at 409A ~$170M)	$1,000K	$1,000K	$1,000K	EAI units issued as part of Exos's Rule 504 offering, at the 409A value; $1.0M counts toward Rule 504 $10M cap; issued at financing close
② Total at financing close (① + equity)	**$5,360K**	**$5,360K**	**$5,360K**	
Tank earn-out (5 yrs, 5%/yr, cap $300K/yr)	$750K	$1,250K	$1,500K	FY27–FY31; low 3%/base 5%/high 7% × IM rev; $300K/yr cap
Milestone M1: SSLC FY2026-27 rev ≥$5.1M	$200K	$200K	$200K	Pays FY28 Q1 if verified (all scenarios: mgmt base case)
Milestone M2: Nebula/OTV production contract signed	—	$200K	$200K	Pays at contract execution (any year FY27–FY30)
Milestone M3: SSLC annual rev ≥$10M	—	$250K	$250K	Pays first year threshold hit (est. FY29 at base/high)
Milestone M4: SSLC annual rev ≥$20M	—	—	$250K	Pays first year threshold hit (est. FY31 at high)
Milestone M5: BLK3 tank qualification complete	—	—	$200K	Pays at Exos BLK3 tank cert (est. FY27–FY28)
Exos stock earn-out at listing (on top of ~0.59% EAI up-front)	$0	$625K	$1,500K	Post-RTO ~FY29; earn-out 0.0%/0.25%/0.5% FD; lockup same as Exos principals. At 409A: $0/$424K/$848K. Total Exos equity: ~0.59%/~0.84%/~1.09%.
③ TOTAL OFFER VALUE, 5-yr (② + earn-outs; earn-out stock at listing)	**$6,310K**	**$7,885K**	**$9,460K**	**FY27–FY31. HIGH < $10M target — not rebalanced.**
IF HELD: all Exos stock projected in FY2031 (replaces listing earn-out)	**$6.7M**	**$9.6M**	**$12.4M**	**Total stake ~0.59/0.84/1.09% → ~0.41/0.59/0.76% after ~30% dilution × ~$1.63B FY31 EV (16× v12 EBITDA). Projection only; on SSLC-actuals case ~$0.7–1.3M.**
④ TOTAL IF STOCK HELD TO 2031 (① + tank + milestones + 2031 stock)	**$12.0M**	**$15.8M**	**$19.4M**	**Alternative to ③, NOT added to it. Forward-looking projection, not a promise; RTO may not close.**

Why this structure: SSLC holders receive real Exos equity at close ($1.0M EAI units, ~0.59% of $169.7M 409A, issued as part of Exos's Rule 504 offering) — not only contingent upside. It aligns them with Exos immediately. The earn-out stock stays 0.0–0.5%, so total equity is ~0.59–1.09%.

Chart: SSLC_OptionB_Total_Compensation_5yr_2026-10-07.png · Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx → 'Total Compensation' sheet · IM program continuity: Exos-SSLC continues the Intuitive Machines contract with no delivery interruption.

3. Key Terms

Term	Detail

Agreement basis	May 2025 Asset Acquisition Agreement, §3 exclusivity trigger
Total commitment	$5,360,000 base at close ($2.51M cash + $60K costs + $790K Exos stake credit + $500K WC + $1.0M EAI equity at 409A, Rule 504)
Exclusivity period	90 days from SSLC confirmation; extension not unreasonably withheld (§3)
Holdback (§7)	5% escrow, released at 12-month anniversary
SSLC debts assumed	Paid at face at close (est. ~$500K; verify QuickBooks)
Status	DRAFT — NEGOTIATING TERMS — not a final or binding offer

504 cap: $1.0M counts toward the Rule 504 $10M rolling 12-month cap; confirm remaining capacity. Rule 504 is U.S.-only; EAI units in the Japan round are Reg S — the two must remain distinct. See model → 'EAI Lockup & Liquidity' sheet for full detail.

4. EAI Unit Lockup & Liquidity

- **Part of the public float at going public.** The $1.0M EAI units are structured to provide part of the float for the Exos RTO and become tradeable at going public (the RTO listing), subject to the same lockup as Exos principals. Specific lock terms are set in the RTO definitive agreement.
- **Restricted at issuance — Rule 504 Reg D.** Units carry a restrictive legend at issuance and are not freely tradeable prior to the RTO listing. Rule 504 ref: https://www.sec.gov/resources-small-businesses/exempt-offerings/exemption-limited-offerings-not-exceeding-10-million-rule-504-regulation-d

Milestone	Target / Status
Board acceptance	D+0 — units committed; not yet issued
Financing close — units issued	Targeted Q1 FY27; units issued as restricted/legended securities
Targeted RTO close	~6 months post-financing (targeted, not assured)
Units tradeable at going public	At RTO listing, units part of public float; tradeable subject to principals' lockup
ALL DATES	Targeted, not assured. RTO may not close.

5. Projected Post-RTO Value (Projection — Not a Promise)

Forward-looking projection — management assumptions (RTO completion, listing valuation, ~30% dilution). Not a guarantee; actual results may differ. RTO may not close. SEC Rule 10b-5, 17 CFR 240.10b-5 (https://www.ecfr.gov/current/title-17/chapter-II/part-240/section-240.10b-5) antifraud rules apply. 409A issuance value: $1.0M fixed (~0.59%). Up-front EAI only; earn-out column is additional, at listing, pre-dilution.

Scenario	RTO MEV	~0.59% pre-dil	~0.59% post-dil (~30% dil)	+ earn-out at listing
Low	$200M	$1.18M	$0.83M	$0 (0.0%)
Base	$250M	$1.47M	$1.03M	+$625K (0.25% @ $250M)
High	$300M	$1.77M	$1.24M	+$1,500K (0.50% @ $300M)

Detail in model: drafts/EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx · With-vs-Without comparison: sheet 'With vs Without Exos Capital' · Exclusivity rescue options: SSLC_Exclusivity_Rescue_Options_and_Draft_Message_2026-10-07_DRAFT_v2.docx

DRAFT — INTERNAL — NEGOTIATING TERMS — John Quinn, CEO, Exos Aerospace — 2026-10-09